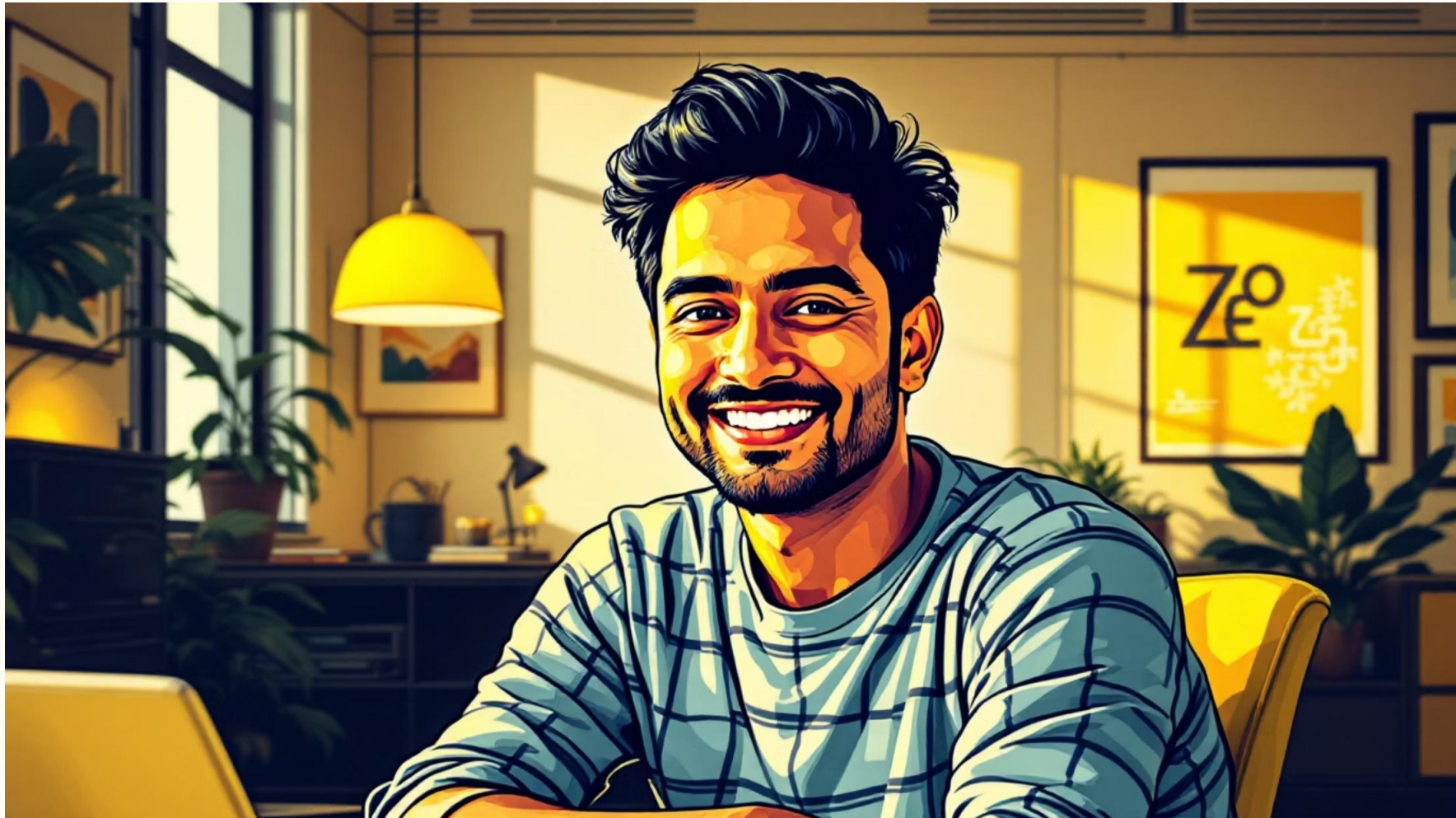




Business Model Challenge: Zerodha Coin

How a customer-friendly idea created a revenue problem

About Zerodha: A Disruptor in Indian Finance



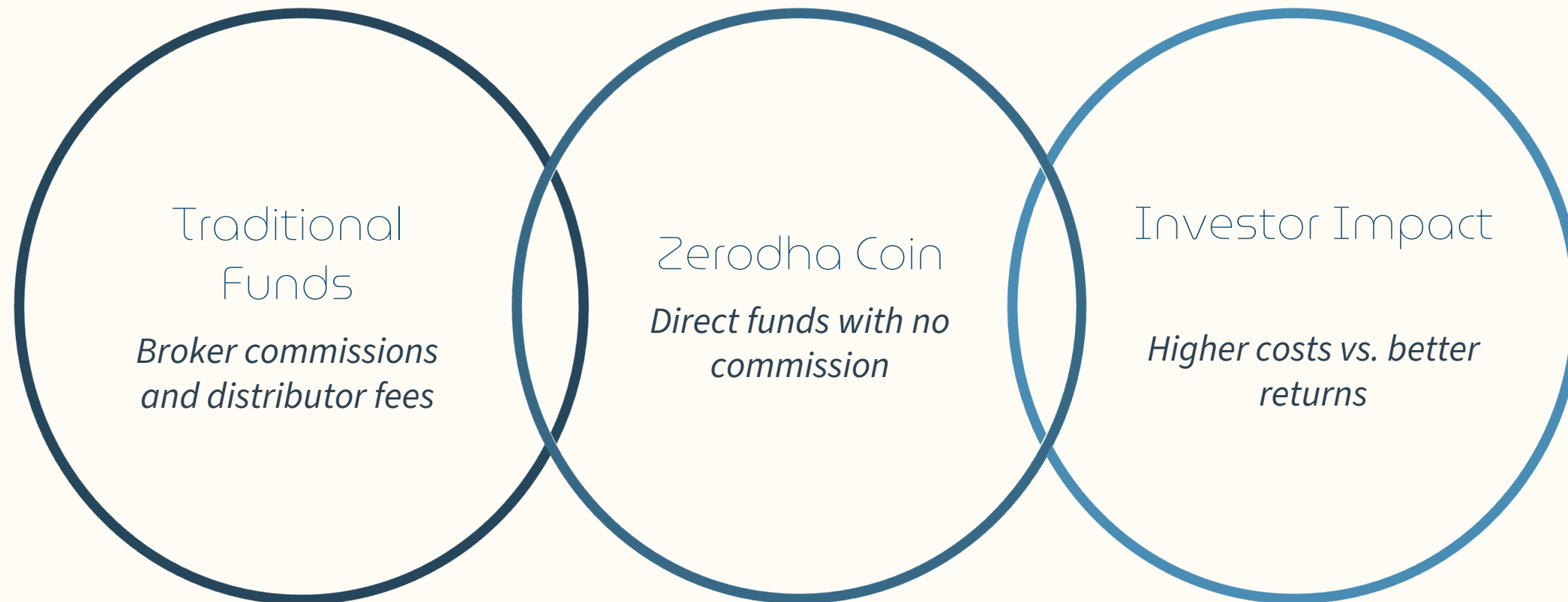
Founder: Nithin Kamath

Nithin Kamath launched Zerodha with a vision to democratize investing in India.

Zerodha is a leading Indian financial services company known for its innovative approach to brokerage.

- **Mission:** Offer low-cost investing solutions.
- **Impact:** Revolutionized the Indian stock market by making trading more accessible.

Introducing Zerodha Coin: The Game Changer



Zerodha Coin is a platform designed for investing in direct mutual funds, which are inherently commission-free. This model was a direct challenge to the traditional fund distribution system.

- **Direct Mutual Funds:** Investors buy funds directly from asset management companies, bypassing intermediaries.
- **Benefit for Customers:** Lower fees mean higher returns over time, making it highly attractive to investors.

The Business Model That Backfired

While brilliant for customers, the Coin model inadvertently dismantled a crucial revenue stream. Traditional platforms thrived on commissions from mutual fund investments.

- **Traditional Platforms:** Earned commission from every transaction.
- **Zerodha Coin:** Eliminated commissions, removing a direct revenue source.



□ **Key Point:** Good for customers, but bad for immediate company revenue.

Simple Math: If ₹1,00,000 was invested, the platform earned ₹0.

An Attempt at a New Revenue Model

1

Subscription Fee Introduced

To compensate for lost commission, Zerodha introduced a ₹50 per month subscription fee for Coin users.

2

Customer Resistance

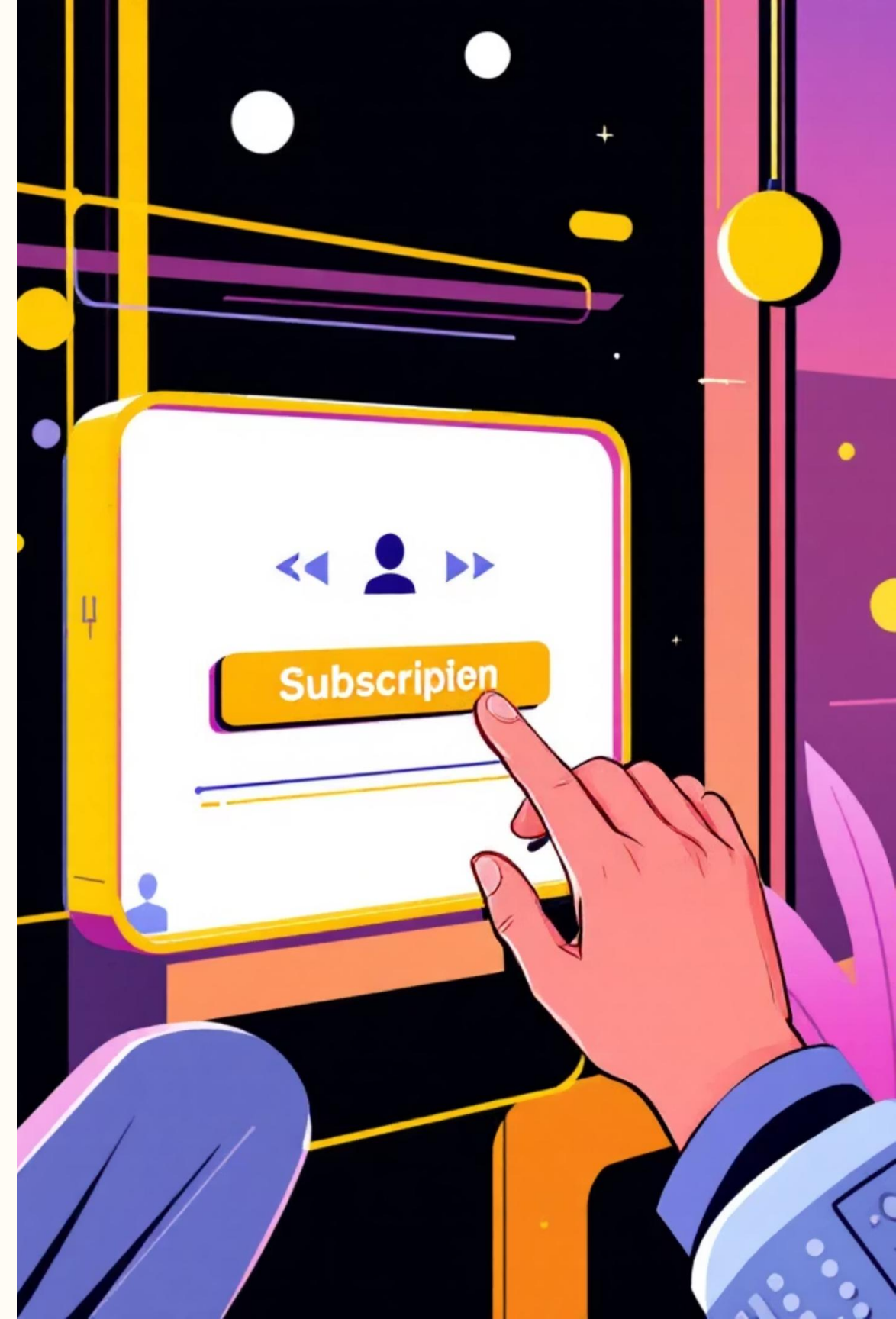
Customers were accustomed to free access for direct mutual funds. This sudden shift to a subscription model faced significant resistance.

3

Slow Adoption

Despite the excellent product, the change in revenue model led to slower adoption rates and dissatisfaction among some users.

The product was good, but the revenue model was weak and struggled to gain traction.



THE SOLUTION

Overcoming the Revenue Hurdle



Coin as User Acquisition

Zerodha shifted Coin's role from a direct revenue generator to a powerful customer acquisition tool.



Cross-Selling Services

New customers attracted by Coin were then introduced to Zerodha's core brokerage services.



Brokerage from Trading

Zerodha earned significant brokerage from equity and derivatives trading by these users.

Ecosystem Model: Coin attracts users → Users trade stocks → Zerodha earns brokerage.

A Strategic Business Model Shift

From Product-Based Revenue

Initial focus on direct earnings from each product offering (e.g., Coin's subscription fee).



To Ecosystem-Based Revenue

Leveraging one product to drive engagement and revenue across a suite of related services.



This shift demonstrated a willingness to sacrifice short-term profits for sustainable long-term growth and market dominance.

KEY LEARNINGS

Invaluable Business Lessons from Zerodha Coin

1 Revenue is Paramount

Removing a primary revenue stream without a clear, viable replacement is a high-risk strategy.

3 Clarity Over Innovation

A brilliantly innovative product needs an equally clear and robust revenue model to succeed.

2 Free Comes with a Cost

While "free" attracts users, it rarely sustains a business in the long run without an alternative monetization strategy.

4 Product for Growth, Not Profit

Some products serve as strategic growth drivers, bringing users into an ecosystem where other offerings generate profit.



"A startup must always answer one question — If customers are saving money, how is the company earning money?"

The ultimate test of a sustainable business model.